Working Capital and Collections

Cash conversion, the honest version

The cycle

Farmers are paid in 7 days. Raw produce becomes finished stock in 3 to 9 days depending on the SKU. Modern trade pays in 45 to 60 days. Direct to consumer is prepaid. The blended cash conversion cycle is 41 days and it lengthens as modern trade grows.

Collections

Rs 94 lakh of receivables outstanding at 31 July 2026, of which Rs 11 lakh is over 60 days, all with one chain that is renegotiating terms across all its suppliers.

Why we do not just shift to direct only

The direct channel is higher margin but its acquisition cost rises as it scales. Modern trade is the cheapest awareness we can buy, and it is what makes the direct channel convert at the rate it does. The two are not alternatives.

What the round changes

Rs 2.2 crore of working capital lets us take modern trade to about 900 doors without the receivable strangling the farmer payment commitment, which is the one thing we will not compromise on.